PABRAI INVESTMENT FUNDS

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To: All Limited Partners and Investors of the Pabrai Investment Funds

From: Mohnish Pabrai, Managing Partner

Date: January 12, 2018

Re: **2017 Results et. al.**

Dear Partners:

Happy New Year! December 31 was our annual redemption date. A total of $82.3 million was redeemed from the various funds in 2017. The redemptions on a per fund basis are:

PIF2: $8.1 million PIF3: $19.3 million PIF4: $54.9 million

For the quarter ended December 31, 2017, a total of $7.5 million was added by my family, a retirement plan for Pabrai Funds' team members, and The Dakshana Foundation.

I am opening up Pabrai Funds *only on* April 1, 2018 to accommodate Dhandho Holdings investors who may be looking to put some or all of their Q1 2018 distribution into Pabrai Funds. **Others are welcome to join as well.** PIF2 is open only to existing partners who would like to add additional funds. PIF3 and PIF4 are open to existing partners and new investors.

The minimum investment for Dhandho Holdings investors is $250,000. The minimum for all other new investors is $20 million. Existing partners can add as little as $25,000. The legal/subscription documents and deposit slips (existing PIF2 and PIF4 investors) can be accessed here:

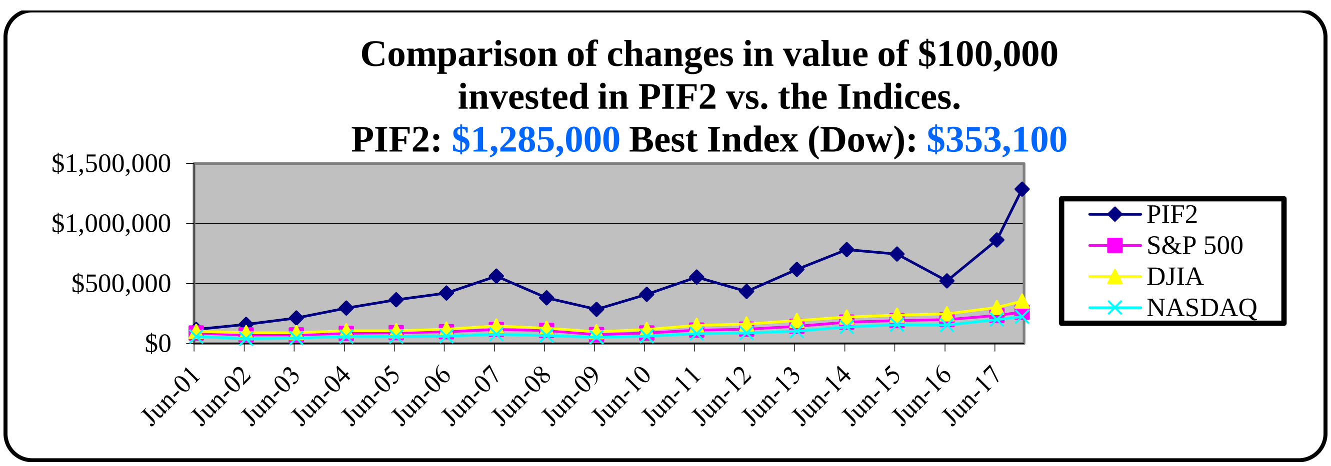
http://www.pabraifunds.com/website/legal_documents_master.html

If you are interested or would like more information, please contact Betsy Harker or me at bharker@pabraifunds.com or mp@pabraifunds.com, respectively.

The updated performance numbers on all the funds are:

THE PABRAI INVESTMENT FUND II, LP (US Accredited Investors) Performance Summary:

	DJIA	NASDAQ	S&P 500	PIF2 (net to investors)
10/1/00-6/30/01	-0.2%	-41.0%	-14.0%	+17.4%
7/1/01-6/30/02	-10.3%	-32.7%	-18.0%	+35.3%
7/1/02-6/30/03	-0.5%	+11.4%	+0.3%	+34.2%
7/1/03-6/30/04	+18.6%	+26.8%	+19.1%	+38.7%
7/1/04-6/30/05	+0.7%	+1.1%	+6.3%	+23.4%
7/1/05-6/30/06	+11.1%	+6.5%	+8.6%	+15.0%
7/1/06-6/30/07	+23.0%	+20.7%	+20.6%	+34.0%
7/1/07-6/30/08	-13.3%	-11.2%	-13.1%	-32.4%
7/1/08-6/30/09	-23.0%	-19.1%	-26.2%	-25.2%
7/1/09-6/30/10	+18.9%	+16.0%	+14.4%	+43.6%
7/1/10-6/30/11	+30.4%	+32.9%	+30.7%	+35.8%
7/1/11-6/30/12	+5.2%	+5.4%	+3.9%	-21.8%
7/1/12-6/30/13	+18.9%	+17.8%	+20.6%	+42.2%
7/1/13-6/30/14	+15.5%	+31.2%	+24.6%	+26.7%
7/1/14-6/30/15	+7.2%	+14.6%	+7.4%	-4.5%
7/1/15-6/30/16	+4.5%	-1.6%	+4.0%	-30.0%
7/1/16-6/30/17	+22.1%	+28.4%	+17.9%	+64.9%
7/1/17-12/31/17	+17.1%	+13.0%	+11.4%	+49.1%
1/1/17-12/31/17	+28.1%	+29.7%	+21.8%	+92.2%
Annualized	+7.6%	+4.8%	+5.7%	+15.9%
Cumulative	+253.1%	+123.8%	+161.2%	+1185.0%

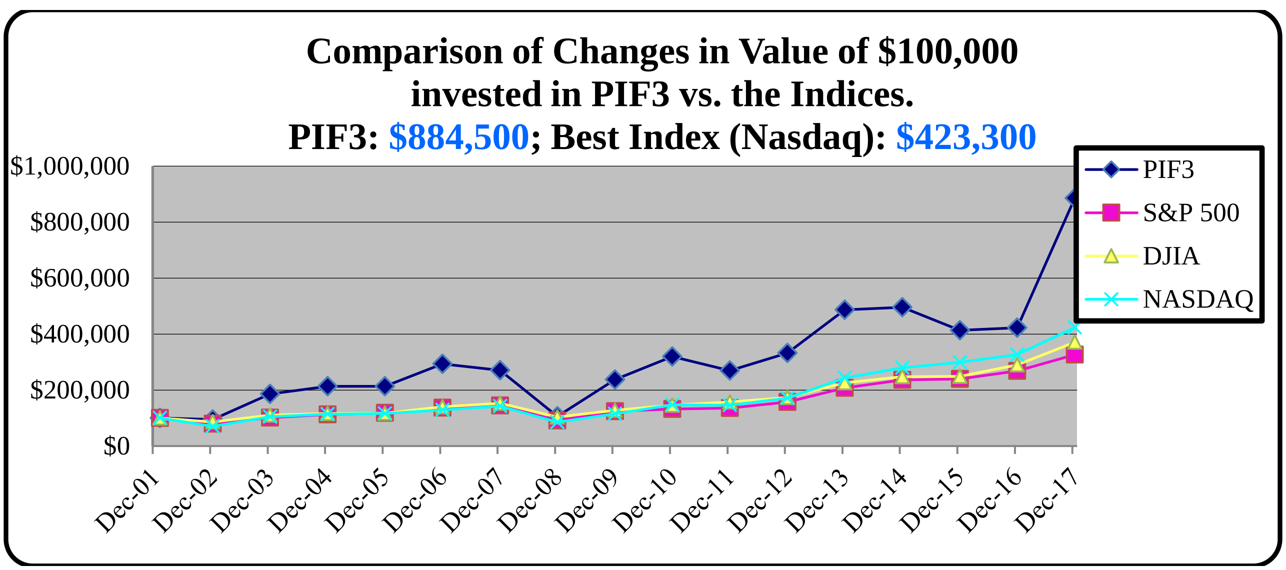


PIF2 Investors:

A $100,000 investment in PIFI at inception on July 1, 1999 and rolled over into PIF2 on 12/31/02 ($197,900) was worth $1,800,300 as of December 31, 2017 (net to investors). This equates to an annualized return of 16.9% since inception – after all management fees and expenses. The best index over the same period was the Dow and an investment of $100,000 in the DJIA on July 1, 1999 was worth $349,600 on December 31, 2017 – an annualized gain of 7.0%. The Dow gains include reinvested dividends. In the graph above, the start date for PIF2 is shown as June 2000 for readability. The correct start date is October 2000.

PABRAI INVESTMENT FUND 3, LTD (Offshore/IRA Investors) Performance Summary:

	DJIA	NASDAQ	S&P 500	PIF3 (net to investors)
2/1/02-12/31/02	-14.1%	-29.9%	-20.4%	-5.2%
1/1/03-12/31/03	+28.3%	+50.8%	+28.7%	+96.5%
1/1/04-12/31/04	+5.3%	+9.2%	+10.9%	+14.7%
1/1/05-12/31/05	+1.7%	+2.1%	+4.9%	-0.2%
1/1/06-12/31/06	+19.0%	+10.4%	+15.8%	+37.8%
1/1/07-12/31/07	+8.9%	+10.7%	+5.5%	-7.8%
1/1/08-12/31/08	-31.9%	-39.9%	-37.0%	-60.9%
1/1/09-12/31/09	+22.7%	+45.4%	+26.5%	+125.0%
1/1/10-12/31/10	+14.1%	+18.2%	+15.1%	+34.4%
1/1/11-12/31/11	+8.4%	-0.8%	+2.1%	-15.7%
1/1/12-12/31/12	+10.2%	+17.7%	+16.0%	+23.4%
1/1/13-12/31/13	+29.6%	+40.2%	+32.4%	+46.6%
1/1/14-12/31/14	+10.0%	+14.8%	+13.7%	+1.9%
1/1/15-12/31/15	+0.2%	+7.1%	+1.4%	-16.7%
1/1/16-12/31/16	+16.5%	+8.9%	+11.9%	+2.3%
1/1/17-12/31/17	+28.1%	+29.7%	+21.8%	+109.2%
Annualized	+8.6%	+9.5%	+7.7%	+14.7%
Cumulative	+270.6%	+323.3%	+226.3%	+784.5%

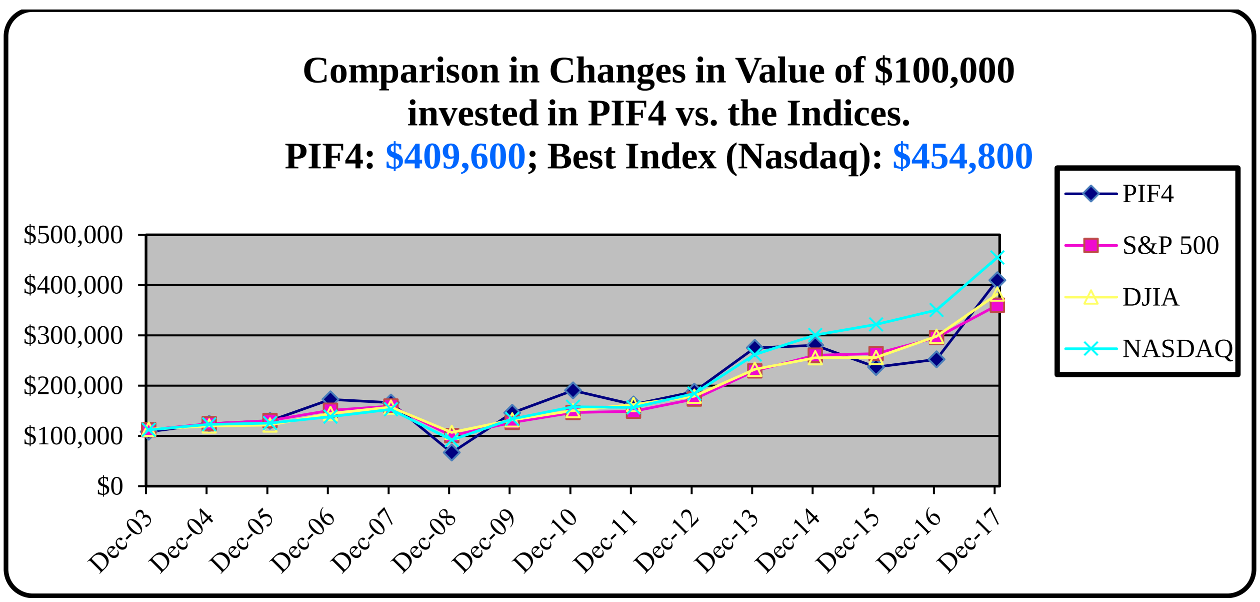


PIF3 Investors:

A $100,000 investment in PIF3 at inception on February 1, 2002 was worth $884,500 as of December 31, 2017 (net to investors). This equates to an annualized return of 14.7% since inception. The best index over the same period was the Nasdaq and an investment of $100,000 in the Nasdaq on February 1, 2002 was worth $423,300 on December 31, 2017 – an annualized gain of 9.5%. The Nasdaq gains include reinvested dividends. In the graph above, the start date for PIF3 is shown as December 31, 2001 for readability. The correct start date is February 1, 2002.

THE PABRAI INVESTMENT FUND IV, LP (US Qualified Investors) Performance Summary:

	DJIA	NASDAQ	S&P 500	PIF4 (net to investors)
10/1/03-12/31/03	+13.4%	+12.3%	+12.2%	+8.4%
1/1/04-12/31/04	+5.3%	+9.2%	+10.9%	+14.4%
1/1/05-12/31/05	+1.7%	+2.1%	+4.9%	+4.9%
1/1/06-12/31/06	+19.0%	+10.4%	+15.8%	+32.4%
1/1/07-12/31/07	+8.9%	+10.7%	+5.5%	-3.4%
1/1/08-12/31/08	-31.9%	-39.9%	-37.0%	-60.0%
1/1/09-12/31/09	+22.7%	+45.4%	+26.5%	+118.8%
1/1/10-12/31/10	+14.1%	+18.2%	+15.1%	+30.7%
1/1/11-12/31/11	+8.4%	-0.8%	+2.1%	-14.8%
1/1/12-12/31/12	+10.2%	+17.7%	+16.0%	+16.1%
1/1/13-12/31/13	+29.6%	+40.2%	+32.4%	+46.0%
1/1/14-12/31/14	+10.0%	+14.8%	+13.7%	+1.8%
1/1/15-12/31/15	+0.2%	+7.1%	+1.4%	-15.4%
1/1/16-12/31/16	+16.5%	+8.9%	+11.9%	+6.3%
1/1/17-12/31/17	+28.1%	+29.7%	+21.8%	+62.4%
Annualized	+9.9%	+11.2%	+9.4%	+10.4%
Cumulative	+281.9%	+354.8%	+259.8%	+309.6%



PIF4 Investors:

A $100,000 investment in PIF4 at inception on October 1, 2003 was worth $409,600 as of December 31, 2017 (net to investors). This equates to an annualized return of 10.4% since inception. The best index over the same period was the Nasdaq and an investment of $100,000 in the Nasdaq on October 1, 2003 was worth $454,800 on December 31, 2017 – an annualized gain of 11.2%. The Nasdaq gains include reinvested dividends. In the graph above, the start date for PIF4 is shown as December 31, 2003 for readability. The correct start date is October 1, 2003.

General Comments

Pabrai Funds blew the lights out in 2017! The three funds, PIF2, PIF3 and PIF4, were up 92.2%, 109.2% and 62.4% respectively for the year versus a 21.8% gain for S&P 500. While the 2017 results are great, it is longer-term results that matter. Here too the news is great.

Annualized returns	1 year	3 years	5 years	10 years
PIF2	92.2%	17.9%	19.9%	10.7%
PIF3	109.2%	21.3%	21.6%	12.6%
PIF4	62.4%	13.5%	16.8%	9.4%
S&P 500	21.8%	11.4%	15.8%	8.5%

Not only have all three funds outperformed the S&P 500 over 1, 3, 5 and 10 years, they are also meaningfully ahead of the S&P 500 since their respective inceptions in 1999, 2002 and 2003. I am delighted that every dollar entrusted to me at the launch of each fund has turned into to $18, $9 and $4 respectively – after all fees and expenses.

In fact, other than PIF4 lagging the Nasdaq slightly over some periods, all three funds have outperformed all indices over virtually all salient periods. The Nasdaq has been an erratic index since we launched in 1999. It went from over 5000 in 1999 to less than 1140 three years later. Beating it is a bit hard if we start comparing our performance to it from 2002 or 2003 - after it had crashed and burned. In hindsight, I should have signed on to benchmarking against just the S&P 500, as it represents around 80% of the capitalization of all US stocks and it is easy to invest in. But I am not a proponent of "selective index shopping." I signed up to be compared to the best of the Dow, Nasdaq and the S&P 500 and I'll stick to that – at least on Pages 2-4.

While our 2017 numbers look great, even the not-so-diligent reader will note the huge difference in performance of the various funds. While the three funds have had similar performance over their existence, there was a confluence of factors all working in the same direction that led to this unusual outcome in 2017. Let me provide more color.

Rain Industries

About 2½ years ago a benevolent human (whom I have yet to meet or speak to) sent me an elegant write-up on a Hyderabad, India-based company I had never heard of called Rain Industries. Within a few hours of reading and validating the facts he presented in the write-up, I knew that a huge winner had been dropped into my lap. I concluded that the odds were quite high that we'd make 5-10x on our investment in Rain in five years or less with a very muted downside. Upside without downside always gets my attention.

As an aside, here is the link to the report on Rain Industries that I read and acted on in 2015: http://www.beyondproxy.com/rain-industries-ltd/. (This report has been freely available since 2014 on the internet for anyone to read and act upon. Virtually no one cared to do either!)

Rain had a market cap of just $175 million in Q2 2015 and Indian securities laws limit foreign funds like ours to owning a maximum of 10% of any publicly traded company in India. The maximum we would thus be able to invest would be around $17 million or so – if we could find that much stock for sale. A rule Pabrai Funds has followed since inception is that the smallest fund goes first. After it satisfies its appetite fully, then we move to the next smallest and then the largest. This allows good ideas to have the best chance of moving the needle. With Rain, given that I was still getting my feet wet with India equities and the $17 million upper limit, I decided to make Rain a maximum of a 5% position in each of the funds.

PIF2 was the smallest fund with around $150 million in assets at the time. We successfully bought a $7.5 million stake in Rain in PIF2 and then started buying in PIF3. Our sizable volumes started driving up the price, but I persisted. I was very willing to pay up for Rain. PIF3 ended with a $10.7 million stake, also representing about 5% of assets. We were able to get a $2 million stake in PIF4 before we started running up against the 10% limit. By now the stock had moved up more than 35% from when we started buying. With a total stake of over $20 million (at cost) and an ownership of 9.4% of the business, I was quite happy to be done.

As I write this missive, PIF2's $7.5 million stake in Rain is now worth $89.8 million. PIF3's $10.7 million stake is now worth over $114.4 million and PIF4's $2 million investment in Rain is now worth north of $19 million. I've gotten a better understanding of the business over the last few years. There are some strong tail winds that have emerged that simply did not exist in 2015. As a result, I believe we still have some room to run on this winner – and, barring any meaningful negative developments or more compelling ideas, I intend to let it run.

PIF3's 2016 Redemptions and Extreme Concentration

Since we bought our Rain position in 2015, Pabrai Funds have mostly been closed to new funds and investors. We've had three annual redemption dates since then. The amount redeemed from PIF3 on these dates is as follows:

12/31/15:	$25.4 million
12/31/16:	$67.1 million
12/31/17:	$19.3 million
Total:	$111.8 million

In December 2016, the total assets in PIF3 before the redemptions were about $166 million. Of this amount, $67 million was redeemed on 12/31/16. In nineteen years of running Pabrai Funds, I have hardly ever tried to dissuade investors in any way from redeeming. It's their money. They have the right to ask for it on 12/31 of any year. However, in late 2016, I made an exception and contacted two institutions that had requested a full exit from PIF3. These two redemptions made up the bulk of the $67 million. I requested both to either not exit or reduce the size of their request. I told them the assets we held were deeply undervalued and that I recommended staying invested. It did not help. Both proceeded with full redemptions anyway.

Every time we have redemptions, I use it as an opportunity to get rid of my lowest conviction ideas. As a result from 2015-2017, there was a lot of selling of low conviction (and sometimes even not so low conviction) holdings to fulfill these sizable redemption requests. These redemptions ended up helping the investors who stayed invested. And they've turned PIF3 into becoming the most concentrated it has ever been in its entire history.

Here is what the PIF3 portfolio looks like as of January 11, 2018:

	Cost	**Market Value**
Rain Industries:	$10.7 million	$114.4 million
Fiat Chrysler Automobiles:	$9.0 million	$61.8 million
Six Other Indian Stocks:	$33.2 million	$51.7 million
Kweichow Moutai (China):	$3.9 million	$16.2 million
Anonymous Korean Stock:	$1.1 million	$1.1 million
Cash:	$5.0 million	$5.0 million
TOTAL:	**$62.9 million**	**$250.2 million**

A few salient observations about the PIF3 portfolio:

1. U.S. domiciled businesses make up 0% of the PIF3 portfolio. This has never happened before in our nineteen year history. It is stunning to note that a $250+ million public equities portfolio (with a broad mandate) managed by me has no US-based businesses.
2. Indian stocks make up over 68% of the portfolio.
3. Our two largest positions, Fiat and Rain, make up over 70% of the pie.

The reason why PIF3 did so much better than the other funds in 2017 is that much of Rain's gains came in 2017. As a result of the large redemptions in 2015 and 2016, Rain represented more than 10% of PIF3's assets at the beginning of 2017. It then proceeded to go up over eight-fold. Even though we have virtually no slouches in the PIF3 portfolio, Rain went from a tenth of the pie at the beginning of 2017 to over 45% of the pie in the early days of 2018.

Of all the three funds, PIF3 is the most concentrated. If I had a choice to pick between the funds, I would put 100% of the Pabrai Family investable assets into PIF3. And I'd sleep very well! Unfortunately, I cannot do that. PIF3 is our offshore fund and, as a US resident, I can manage PIF3, but not invest in it. While the extreme concentration may give some folks indigestion, I love it. I understand the holdings very well and think its future is the brightest among the three funds for the next few years.

While Rain makes up half the portfolio for PIF3, it makes up around 5% of the PIF4 assets. This is a large difference that will likely continue to manifest itself in performance differences between the funds for the next few years. I love the portfolio composition of all three Pabrai Funds (I just like PIF3 the most) and they are all changing hands today at well below their underlying intrinsic value. I fully expect all three of them to continue beating the indices in the years ahead.

US GAAP accounting rules require us to disclose all portfolio holdings over 5% in our annual audit report. These are posted on the website and included in our Annual Report, in case you'd like to get more color into the portfolio composition of the various Pabrai Funds at the end of each fiscal year.

While PIF3 investors are basking in the warmth of triple-digit gains in 2017, those gains came because of extreme portfolio concentration. I had not planned for PIF3 to get this concentrated. The combination of huge gains in a few holdings coupled with large redemptions left us with this result. My primary motivation for this long dialog was to give PIF3 investors plenty of color around the currently unusual portfolio composition of PIF3.

Not Finding Anything in the United States; A Portfolio of Anomalies

Stocks are priced for perfection in the US. I have not found a single 50% off stock that might double in 2-3 years in the US for over fifteen months. Even in India, the blue chips are fully priced and then some. The pickings are slim.

If I could find another five or ten bagger, I'd trim our Rain Industries position. We were very lucky to find anomalies like Rain Industries and a few other interesting buys in India. Virtually every stock we own in India is an anomaly. Valuations got temporarily depressed due to unusual circumstances in a sliver of good businesses in India, and I was able to pounce on them. The various Pabrai Fund portfolios today are basically portfolios of anomalies. I love that!

Alignment of Interests

My immediate family has a stake of 428,974 units of PIF2 and 1,441,901 units of PIF4. In addition, the administrative team at Pabrai Funds and my immediate family owns 45,783 units of PIF4 and 15,810 units of PIF3 in various retirement accounts. Finally, The Dakshana Foundation is now the proud owner of 75,096 units of PIF3. The aggregate stake of the Pabrai family, the Pabrai Funds team and The Dakshana Foundation in Pabrai Funds is worth approximately $124 million.

Pabrai Funds charges no management fee, just performance fees – which are ¼ of the returns over 6% annualized (subject to high-water marks). I only get paid when you make money. When you win, I win. I am very bullish on the long-term future of Pabrai Funds – as demonstrated by my being the largest investor in the funds. PIF2, PIF3 and PIF4 earned $13.7 million, $16.1 million and $10.6 million in fees in Q4 2017. PIF2 and PIF4 fees were fully reinvested into the respective funds. PIF3 is an offshore fund and I have to take those fees in cash.

My family and I have a $9 million investment in Dhandho Holdings. Besides this, we have no other meaningful interests in any other mutual funds, hedge funds or private equity funds. Our interests are completely aligned.

2017 Annual Meeting Presentation

We had two very successful annual meetings in September at Soka University in California and at Carlucci's in Chicago. It was a pleasure to meet old friends and partners and welcome new ones. I'm very grateful to Lynn, Betsy, Nickii, Karen, Valerie and Julie for all their diligence in organizing the various facets of the meetings and dinners so flawlessly.

The link to the annual meeting presentation is here and on our website for your perusal (the password to the video is "Munger"):

https://vimeo.com/234044488

The transcript to the meeting will be posted on the website by the end of Q1 2018.

Chai with Pabrai Blog and Twitter

My blog can be accessed here: http://www.chaiwithpabrai.com/. And you can follow me on Twitter here: https://twitter.com/MohnishPabrai.

Interview with Bloomberg Quint

On December 28, 2017, I was interviewed by Bloomberg Quint for its Alpha Moguls program. Here is the link:

http://www.chaiwithpabrai.com/blog/interview-with-bloomberg-quint-on-investing-in-india

Interview with MOI Global

On December 19, 2017, I was interviewed by MOI Global on philanthropy and The Dakshana Foundation. Here is the link:

http://www.chaiwithpabrai.com/blog/interview-with-moi-global-on-philanthropy

Lecture to Boston College

On November 30, 2017, I gave my 7th annual lecture to the value investing class at the Carroll School of Management at Boston College. Here is the link:

http://www.chaiwithpabrai.com/blog/my-7th-annual-talk-at-boston-college

Interview with ET Now

I celebrated Diwali this year with the viewers of ET Now discussing compounding and a few investment ideas in India. Here is the link:

http://www.chaiwithpabrai.com/blog/et-now-interview-on-compounding

Forbes Articles

In November 2017, I co-authored an article in Forbes on the merits of investing in spinoffs. Here is the link:

http://www.chaiwithpabrai.com/blog/spin-gold-from-spinoffs-a-portfolio-of-5-castoffs-trounces-the-sp-500

In December, 2017, I co-authored an article in Forbes about the "Free Lunch" Portfolio, which combines the power of Uber Cannibals, Shameless Cloning and Spinoffs. Here is the link:

http://www.chaiwithpabrai.com/blog/the-free-lunch-portfolio

Annual Report – Will be out in Q2 2018

Our modus operandi is now to provide expansive commentary in the annual reports and the annual meetings. The quarterly letter will continue to provide updated performance numbers and announcements, but minimal commentary. The annual report is slated to be published in Q2 2018.

Final K-1's (for US Investors)

For PIF2 and PIF4 investors, we expect your final K-1s to be emailed to you (password protected) in March 2018.

2018 Annual Meetings – Save the Date

There will be two annual meetings held sequentially in Orange County, California & Chicago. These meetings will cover Pabrai Funds, Dhandho Holdings and Dhandho Funds.

Prior to the California meeting on September 8, 2018, we will have the 5th Annual Gran Fondo Dhandho Bike Ride. It's a scenic ride around the Newport Estuary with views of the Pacific Ocean in Newport Beach, California. Biking can be a dangerous activity; we only want folks who are decent bikers on the ride. The ride begins at Starbucks in Newport Beach at 8:15 AM, and ends there around 10:30 AM. For folks that just wanna chill, you can come to the Starbucks at 10:30 AM and hang out with us bikers. Here is a link to the Starbucks location:

http://www.starbucks.com/store/18175/us/jamboree-bristol/3601-jamboree-road-newport-beach-ca-926602961

Several out-of-towners rented bikes from The Path Bike Shop this year. Here is a link to their website: http://www.thepathbikeshop.com/. They have a great selection of bikes and will deliver and pick up the bikes from your hotel. Bikers are best off staying at the Newport Beach Marriott Bayview, as it is less than 0.5 miles from our Starbucks rendezvous point. Here is a link to the hotel's website: http://www.marriott.com/hotels/travel/npbst-newport-beach-marriott-bayview/.

I hope you'll join me on Saturday morning to experience some of the magic of Southern California.

The **California** meeting is scheduled to be on **Saturday, September 8th, 2018** at 4:00 PM at:

Soka University
Performing Arts Center
1 University Drive, Aliso Viejo, California 92656 Tel. +1949.480.4000

Soka University has a spectacular campus nestled in the scenic hills of Aliso Viejo. It is a 20-minute drive from Orange County Airport (SNA), and about an hour drive from LAX.

There is a fantastic Marriott Club Sport hotel about 3 miles from Soka University:

Marriott Renaissance ClubSport
50 Enterprise
Aliso Viejo, CA 92656
Reservations: 800-468-3571

Phone: 949-643-6700

There are many hotels in the area. Here is a link to other hotels near Soka University:

http://tinyurl.com/8dmevvu

The **Chicago** meeting is thus scheduled to be on **Saturday, September 15th, 2018** at 4:00 PM at**:**

Carlucci's Restaurant
(The Auditorium)
6111 North River Road, Rosemont, Illinois 60018 Tel. +1847.518.0990

Carlucci's is a five-minute taxi ride away from O'Hare airport. The Marriott Suites O'Hare and The Westin O'Hare are both next to the restaurant. In addition, there are a plethora of hotels in the vicinity. Good deals on O'Hare hotels are usually available on the major travel-related websites.

Agenda:

4:00 – 4:30 PM:	Meet and Greet
4:30 – 6:30 PM:	Presentation and Q&A
6:30 PM:	Cocktails
7:15 PM:	Dinner (Chicago only)

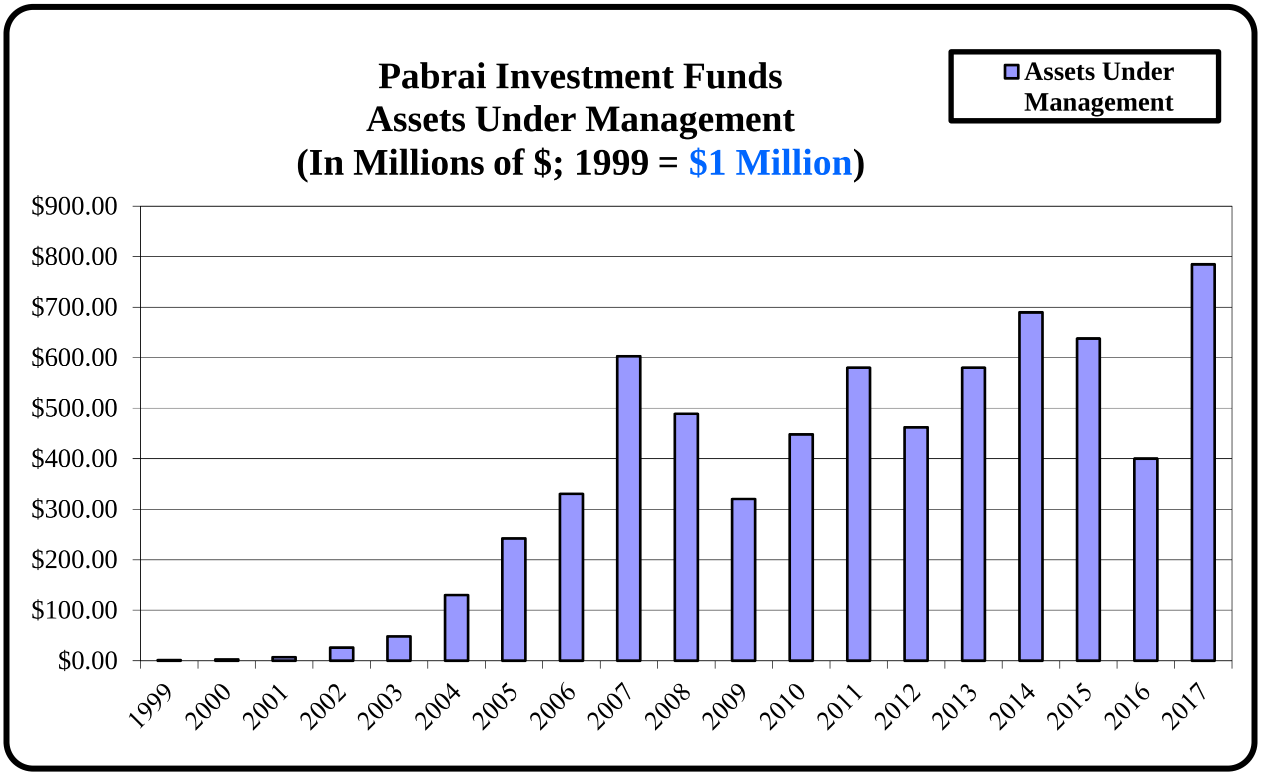
In lieu of dinner in California, we'll have an extended cocktail hour with expanded appetizers (multiple food stations), and lots of tables to sit and chat.

The invites will go out electronically via email in July 2018. Look for it in your inbox! Your significant other and kids of all ages are welcome to attend. As we are now a Registered Investment Advisor, the SEC requires that all guests (excluding family members) must be "accredited investors." The invitation is non-transferable.

I look forward to seeing you in September.

Assets Under Management

There is $788 million in assets under management between all the funds as of January 1, 2018.



It is a true joy to manage Pabrai Funds. I love it! Thanks for your continued interest, referrals and support. Feel free to call me at +1949.453.0609 or email me at mp@pabraifunds.com with any queries or comments.

Warm regards,

Mohnish Pabrai

Note: Various indices are included throughout this letter for reference. Reference to an index or benchmark does not imply that the strategy will achieve returns, experience volatility, or have other results similar to the index. As an example, the Funds may invest in foreign securities or fixed income instruments; however the indices presented only include U.S. securities. These indices are purely a basket of stocks, and the Funds may invest in securities other than stocks such as bonds, warrants and preferred stocks. The Funds typically hold fewer than 10 positions as compared to 500 in the S&P, 30 in the DJIA, and thousands in the NASDAQ. Therefore, the Funds are significantly more concentrated than the benchmark indices and may experience notably higher volatility and return characteristics from these indices.

Appendix A

PIF2's Performance History (Net to Investors)

No. of Units	Date	PIF2 NAV
110,000	10/01/2000	$10.00
330,014	06/30/2001	$11.74
1,027,795	06/30/2002	$15.89
1,950,982	06/30/2003	$21.32
2,445,212	06/30/2004	$29.58
2,696,687	06/30/2005	$36.52
2,646,687	06/30/2006	$41.99
3,013,111	06/30/2007	$56.25
2,934,990	06/30/2008	$38.01
2,468,091	06/30/2009	$28.45
2,409,165	06/30/2010	$40.84
2,257,421	06/30/2011	$55.46
2,180,892	06/30/2012	$43.36
2,057,676	06/30/2013	$61.68
1,906,927	06/30/2014	$78.13
1,795,006	06/30/2015	$74.64
1,684,602	06/30/2016	$52.26
1,744,571	09/30/2016	$60.03
1,699,291	12/31/2016	$66.86
1,774,805	03/31/2017	$82.30
1,774,805	06/30/2017	$86.17
1,863,148	09/30/2017	$104.81
1,907,346	12/31/2017	$128.50

PIF3's Performance History (Net to Investors)

No. of Units	Date	PIF3 NAV
65,100	02/01/2002	$10.00
265,919	12/31/2002	$9.48
485,041	12/31/2003	$18.63
1,774,753	12/31/2004	$21.37
2,478,793	12/31/2005	$21.32
2,930,608	12/31/2006	$29.37
6,438,615	12/31/2007	$27.09
5,415,189	12/31/2008	$10.57
5,038,658	12/31/2009	$23.79
4,885,267	12/31/2010	$31.95
4,701,613	12/31/2011	$26.92
4,318,818	12/31/2012	$33.21
4,384,591	12/31/2013	$48.70
4,290,222	12/31/2014	$49.61
3,805,336	12/31/2015	$41.33
2,433,652	12/31/2016	$42.27
2,482,221	01/31/2017	$46.96
2,483,054	02/28/2017	$49.79
2,530,238	03/31/2017	$52.53
2,530,238	04/30/2017	$54.44
2,530,238	05/31/2017	$52.52
2,530,238	06/30/2017	$54.36
2,530,238	07/31/2017	$58.59
2,533.468	08/31/2017	$62.45
2,534,594	09/30/2017	$68.19
2,599,049	10/31/2017	$77.97
2,628,460	11/30/2017	$85.33
2,409,693	12/31/2017	$88.45

PIF4's Performance History (Net to Investors)

No. of Units	Date	PIF4 NAV
595,030	10/01/2003	$10.00
1,219,330	12/31/2003	$10.84
5,627,712	12/31/2004	$12.40
9,314,803	12/31/2005	$13.01
11,528,331	12/31/2006	$17.23
16,899,746	12/31/2007	$16.64
15,737,042	12/31/2008	$ 6.66
15,725,066	12/31/2009	$14.57
15,251,129	12/31/2010	$19.05
14,493,713	12/31/2011	$16.24
12,398,564	12/31/2012	$18.85
11,560,683	12/31/2013	$27.53
10,642,015	12/31/2014	$28.03
9,531,764	12/31/2015	$23.71
8,792,042	12/31/2016	$25.21
8,875,194	03/31/2017	$28.86
8,875,194	06/30/2017	$30.36
9,120,048	09/30/2017	$36.89
8,040,030	12/31/2017	$40.96